TABLE 19.1 Thinking about Retirement and Savings

	How Much Have You Thought about Retirement?			
Percentile	**A Lot**	**Some**	**A Little**	**Hardly at All**
5	0	2,010	−120	−500
25	41,300	50,500	28,500	8,800
50	116,200	128,000	92,000	60,000
75	241,000	266,800	208,000	147,000
90	437,000	474,500	485,700	346,500
95	636,500	752,000	1,009,000	613,350
Mean	224,252	239,298	245,304	165,367
(Std. Dev.)	(504,987)	(422,639)	(638,957)	(448,924)
Number of observations	1,331	1,039	681	1,438

Note: This table reports the distribution of total net worth across different responses to the question "How much have you thought about retirement?" All figures are weighted using survey weights.
Source: Annamaria Lusardi, "Explaining Why So Many Households Do Not Save" (working paper, Irving Harris Graduate School for Public Policy Studies, University of Chicago, 2000). Reprinted with permission.

> thought about retirement ("hardly at all" merits one point, while "a lot" earns four), and points are added if respondents report engaging in additional planning activities. For example, respondents who have asked the Social Security Administration to calculate their expected retirement benefits receive one extra point. Respondents also receive points for having attended retirement seminars.

Lusardi's empirical analysis showed that householders not planning for retirement tend to have much lower savings than householders who have given thought to retirement. The study controlled for numerous additional variables that might arguably impact savings and also tried substituting various measures of asset accumulation (e.g., financial or total net worth) as proxy variables to provide alternative planning measures. Still, the result remains conclusive: savings levels depend significantly on whether a householder has planned for retirement.

Additionally, planning may have an effect not only on wealth but also on portfolio choice. If obtaining information about complex investment assets, such as stocks, required too much effort, families facing retirement will be less likely to invest in those assets. Thus, the question of whether planning affects stock ownership is also important and can be examined